

Ultra Sound Money: Ethereum's Supply Dynamics & Monetary Thesis

Post-Merge supply economics, burn mechanics, staking incentives, and the monetary premium case for ETH.

CURRENT SUPPLY

121.6M ETH

121,603,980 ETH

ETH PRICE

\$2,243

USD

BASE GAS

0.1 Gwei

historic low avg

7-DAY NET

+19,445.89

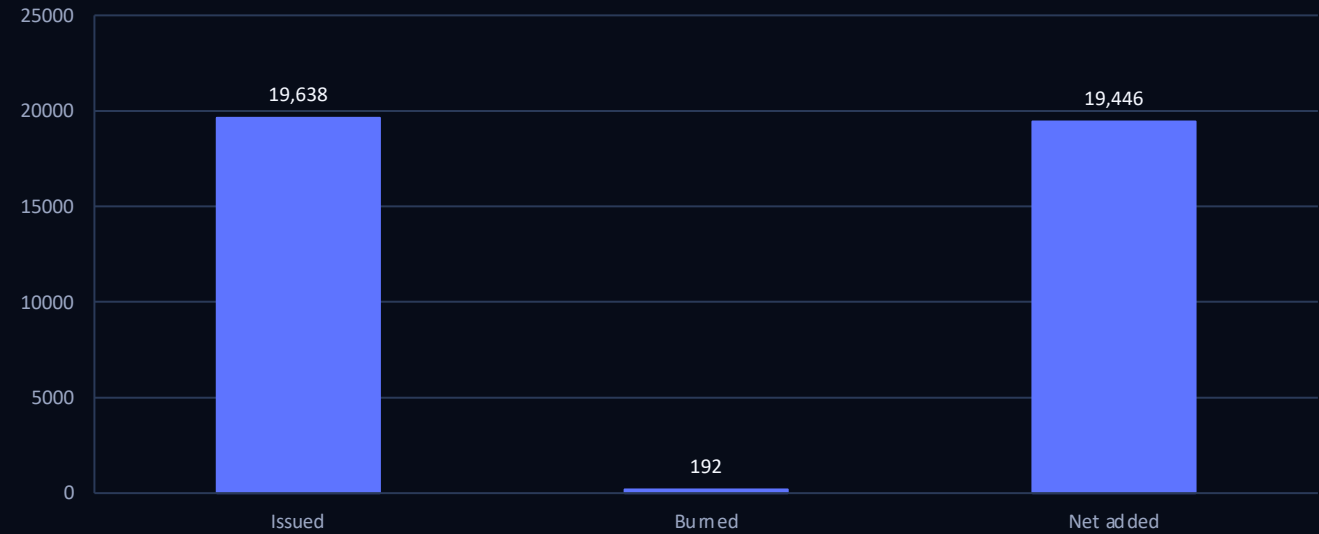
ETH supply change



Audience: crypto-native investors and Ethereum ecosystem participants evaluating ETH as a monetary asset

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

CURRENT SUPPLY	NET CHANGE	ANNUALIZED	OFFSET
121,603,980	+19,445.89	+0.83%	0.01x
ETH	ETH over 7 days	per year	burn / issuance



Interpretation

- Validator issuance: +19,638.29 ETH
- EIP-1559 burn: -192.39 ETH
- Burns offset only ~1% of new issuance
- Current low gas leaves ETH mildly inflationary

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

MIN GAS

0.0

Gwei

AVG GAS

0.1

Gwei

MAX GAS

1.3

Gwei

EQUILIBRIUM

22

Gwei assumption

Blob gas context

AVG BLOB GAS

7,144,934 wei

7-day average

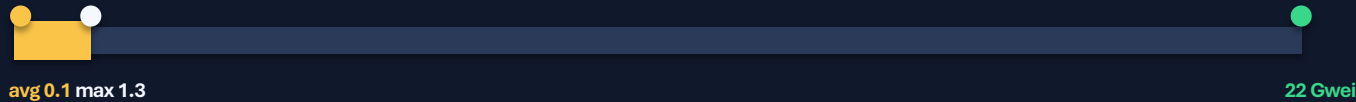
BLOB FEE BURN

0.15 ETH

\$319 over 7 days

EIP-4844 data availability demand is not yet contributing meaningful E

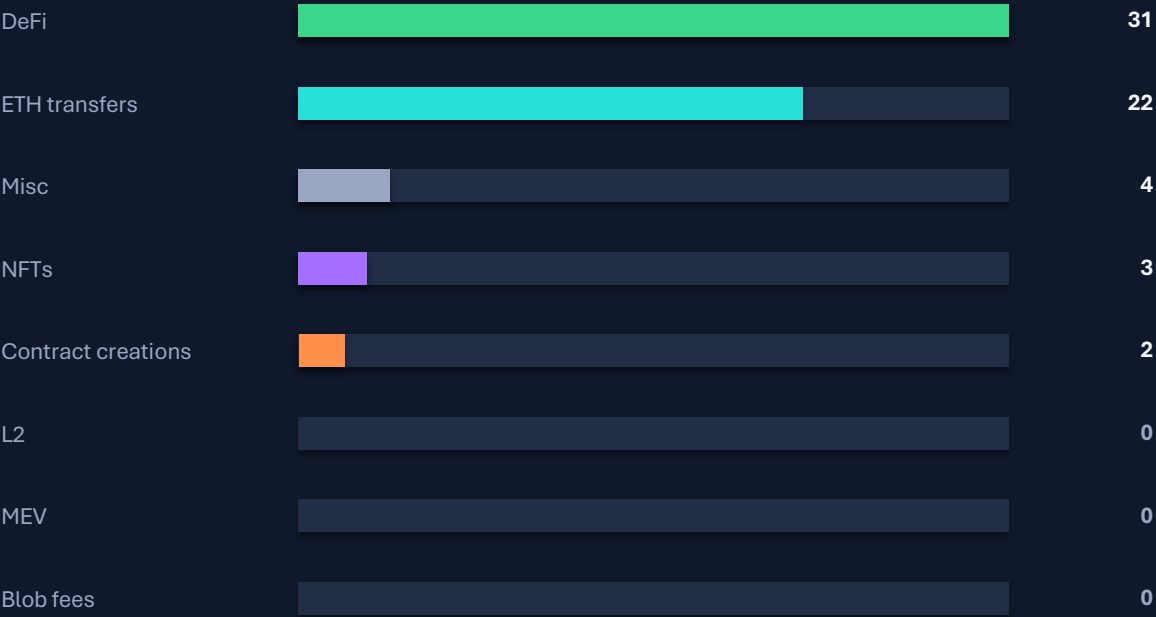
7-day gas range vs. long-term equilibrium assumption



Low gas → low base-fee burn → positive net issuance until activity recovers.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

7-day burn categories (ETH)



Total reported category burn: ~192 ETH across the trailing week.

Leaderboard evidence

#1 BURN SOURCE

ETH transfers

#2 BURN SOURCE

Tether USDT

BLOCK-LEVEL BURN

0.00–0.01

ETH per recent block

The 7-day record was only 0.07 ETH in a single block — a clear low-activity headwin

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Balance



Projection parameters

- 200-year model converges to 125.7M ETH
- Assumes 39M ETH staked
- Assumes 22 Gwei average base gas
- Issuance and burn balance at ~1,037K ETH/year
- PoS issuance ~2.8K ETH/day; burn ~2.2K ETH/day
- Staker issuance rewards: 2.7%/year
- Effective burn rate for non-stakers: 1.2%/year

Historical era transitions: genesis 5 ETH/block → Byzantium 3 → Constantinople 2 → phase 0 staking → London burn → Merge PoW removal

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value



Total Value Secured composition



Monetary premium signals

Top ERC20 values

- Dai: \$4.41B
- Shiba Inu: \$3.51B
- Cronos: \$2.97B
- Tether Gold: \$2.65B

Top NFT values

- CryptoPunks: \$2.13B
- Bored Ape Yacht Club: \$0.68B
- ENS: \$0.63B
- Pudgy Penguins: \$0.51B

Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

CURRENT STATE

ETH is mildly inflationary at +0.83%/yr because average gas is

BURN MECHANISM

EIP-1559 works mechanically, but sustained on-chain activity

STAKING SINK

38.9M ETH is staked — ~32% of supply — creating a major

EQUILIBRIUM

Long-term model converges to 125.7M ETH if 39M staked and 1

MONETARY PREMIUM

\$307B+ TVS and 18.7% of Bitcoin market cap show meaningful, still-early progress.

conviction view: the ultra sound thesis is not invalidated by low activity — it is made more testable. Watch gas demand, blob fees, and burn share as the critical forward variables